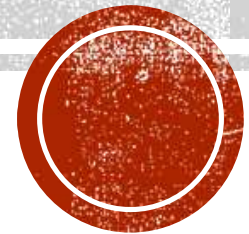


STARTUP FOUNDATIONAL ANALYSIS



Dr. Deepanjal Shrestha
Associate Professor
School of Engineering

OPENING PROFILE

- Company Name: **Morphology Games**
- Industry: Digital games and interactive learning
 - Website: **www.morphologygames.com**
- Social Presence
 - Twitter: **[morphologygames](https://twitter.com/morphologygames)**
 - Facebook: **Morphology Games**
- Core Idea
 - Building engaging digital games that blend learning, creativity, and interactive entertainment



WHY THIS CASE?

- Analyze startup foundation issues
- Evaluate how environment, competition, market, strategy, team, and finance shape early stage startups
- Apply structured business analysis tools to a real startup case
- Morphology Games is used as a reference startup for practical understanding



MORPHOLOGY: THE VALUE OF VALIDATING A BUSINESS IDEA

- The idea originated informally in 2002 during a casual game night when existing board games felt boring
- The initial concept involved creatively depicting dictionary words using improvised materials like sticks and beads
- Kate Ryan Reiling recognized the uniqueness of the idea and received encouragement to develop it further
- She refined the concept by collecting small, versatile objects such as shapes, strings, and rocks, often sourced from a nearby thrift shop



MORPHOLOGY: THE VALUE OF VALIDATING A BUSINESS IDEA

- Reiling actively studied the board game industry by observing how games were designed, packaged, and sold in retail stores
- An early prototype called Fluster was created and tested with friends to gather feedback
- The game was later renamed Morphology due to trademark issues
- Morphology is a team based game where players build visual representations of words for teammates to guess



MORPHOLOGY: THE VALUE OF VALIDATING A BUSINESS IDEA

- Gameplay involves movement across a board, with the first team to reach the finish line winning
- Strong user engagement was evident as players continued thinking about the game even after playing
- Players naturally began recreating the game behavior in social settings, indicating high memorability and emotional connection
- Reiling interpreted this behavioral spillover as proof of the game's stickiness and strong validation of the concept



MORPHOLOGY: THE VALUE OF VALIDATING A BUSINESS IDEA

- From 2002 to 2007, Kate Ryan Reiling worked full time while continuously testing Morphology on the side
- She observed players closely, collected structured feedback through questionnaires, and refined the game based on real usage
- Game pieces were repeatedly added, removed, or replaced to improve pacing, clarity, and enjoyment
- She built 15 prototype versions of the game in her basement for testing
- Feedback was gathered not only from friends and family but also from strangers to reduce bias



MORPHOLOGY: THE VALUE OF VALIDATING A BUSINESS IDEA

- A public pilot test at a local coffee shop demonstrated strong spontaneous interest and purchase intent
- Direct engagement with retailers helped her improve packaging and understand industry expectations
- She pursued an MBA at the Tuck School to strengthen her business and strategic skills
- Her MBA project resulted in a formal business plan and investor presentation for Morphology
- Extensive industry research and additional play testing were conducted during the MBA program



MORPHOLOGY: THE VALUE OF VALIDATING A BUSINESS IDEA

- By 2010, she had observed over 400 people play the game and collected 124 user surveys
- Dozens of iterations were made to game rules, components, and overall design based on feedback
- Morphology debuted at the New York Toy Fair in 2010 and received strong industry recognition
- The game was named a top pick by TD Monthly and nominated as a best party game
- Positive validation enabled Reiling to raise \$150,000 to produce the first 5,000 units
- Morphology is now sold in over 40 stores in the United States with distribution in Canada
- The journey highlights deep validation, persistence, and disciplined iteration before scaling



THE VALUE OF VALIDATING A BUSINESS IDEA

- Why validation matters?
- Most startups fail not because of poor execution but because nobody truly needed the product
- Validation reduces uncertainty before heavy investment
- Helps founders avoid building beautiful solutions to imaginary problems



KEY VALIDATION QUESTIONS

- Who exactly is the customer
- What problem are we solving
- Is this problem painful enough to pay for
- Can we reach these customers effectively



FEASIBILITY ANALYSIS

- Feasibility analysis determines whether a business idea is viable before major commitment
- Effective businesses follow a clear sequence
 - recognizing a business idea
 - testing feasibility
 - writing a business plan
 - launching the business



FEASIBILITY ANALYSIS

- If an idea fails on any feasibility dimension, it should be dropped or redesigned early
- A common entrepreneurial mistake is skipping feasibility analysis and jumping directly to a business plan
- Feasibility analysis requires a mental shift from seeing an idea as a concept to viewing it as a real business
- Feasibility analysis focuses on investigation and critical evaluation
 - A business plan focuses on planning, presentation, and selling the idea to stakeholders
 - Separating investigation from planning helps reduce emotional bias



FEASIBILITY ANALYSIS

- John W. Mullins emphasizes feasibility analysis to avoid the trap of over optimism
- Without proper investigation, entrepreneurs may ignore hidden risks and produce unrealistic business plans
- Historical failures like eBay drop off stores illustrate the cost of skipping feasibility analysis
- Feasibility analysis examines four key areas
 - product or service feasibility
 - industry and market feasibility
 - organizational feasibility
 - financial feasibility



FEASIBILITY ANALYSIS

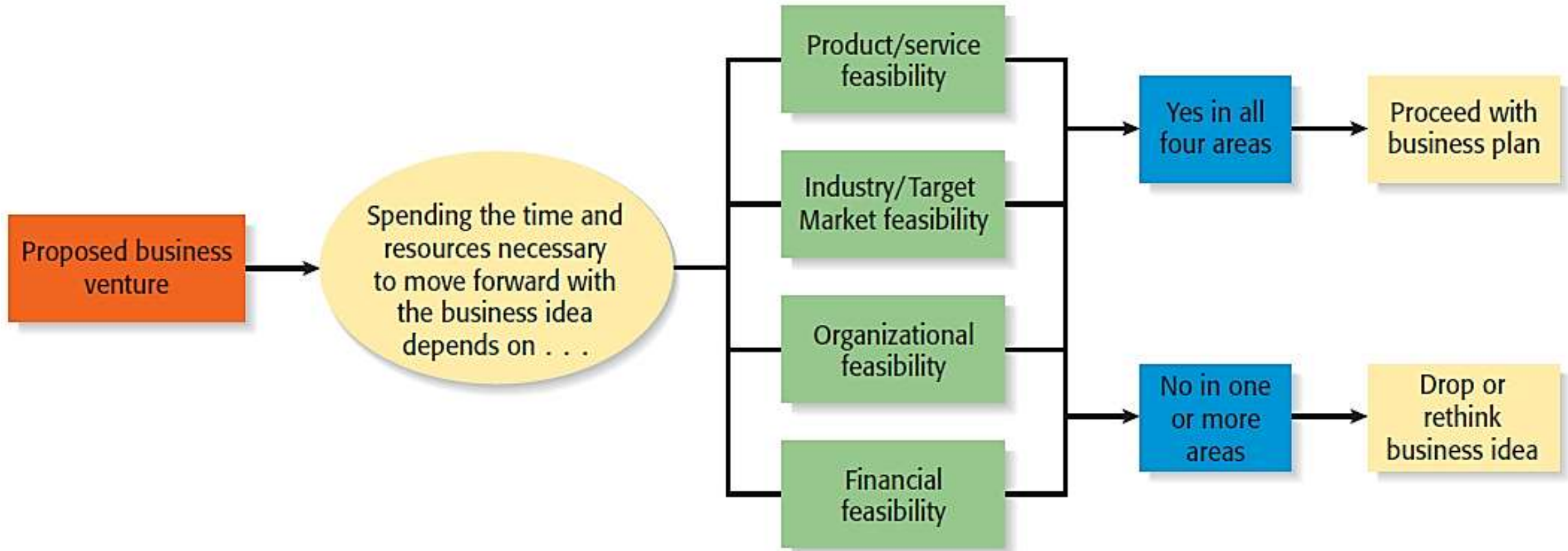


TABLE **FEASIBILITY ANALYSIS**

Part 1: Product/Service Feasibility

- A. Product/service desirability
- B. Product/service demand

Part 2: Industry/Target Market Feasibility

- A. Industry attractiveness
- B. Target market attractiveness

Part 3: Organizational Feasibility

- A. Management prowess
- B. Resource sufficiency

Part 4: Financial Feasibility

- A. Total start-up cash needed
- B. Financial performance of similar businesses
- C. Overall financial attractiveness of the proposed venture

Overall Assessment



PRODUCT/SERVICE FEASIBILITY ANALYSIS

- **Purpose**

- Assess whether the proposed product or service is appealing enough to sell. If it will not sell, nothing else matters.

- **Two core components**

- Product or service desirability and product or service demand.

- **Product or service desirability checks basic appeal and fit**

- Does it make sense, solve a real problem, fill a market gap, match trends, and avoid fatal design flaws. Also checks timing for launch.

- **Concept test is the main tool for desirability**

- Use a one page concept statement and get feedback from industry informed people and prospective customers, not friends and family.



PRODUCT/SERVICE FEASIBILITY ANALYSIS

- **Concept statement must include**
 - Product description, target market, customer benefits, positioning versus competitors, and management team.
- **Demand testing confirms willingness to buy**
 - Use a buying intentions survey with a separate group of potential customers to estimate purchase likelihood.
- **Demand can also be validated with secondary evidence**
 - Library, internet, and field legwork research to cross check whether real market demand exists.



QUESTIONS MUST BE ANSWERED!

- Does it make sense? Is it reasonable? Is it something consumers will get excited about?
- Does it take advantage of an environmental trend, solve a problem, or fill a gap in the marketplace?
- Is this a good time to introduce the product or service to the market?
- Are there any fatal flaws in the product or service's basic design or concept?



TABLE ONLINE TOOLS AVAILABLE FOR COMPLETING FEASIBILITY ANALYSIS

Tool	Source	Cost
A/B testing—meaning respondent is given two options (i.e., which logo is more appealing?)	Pick-fu (http://pickfu.com)	\$5.00 for answers from 50 people.
Feedback on product ideas	Quirky (www.quirky.com)	Free.
Feedback on ideas or designs	Conceptshare (www.conceptshare.com)	Free 30-day trial; tiered pricing system based on level of feedback.
Q&A sites—open-ended questions	Quora (www.quora.com) LinkedIn Answers (www.linkedin.com/answers)	Free. Free.
Survey	SurveyMonkey (www.surveymonkey.com) SurveyGizmo (www.surveygizmo.com)	Free for basic survey; fee based for more extensive surveys. Tiered pricing based on nature of survey.
Web site usability tests	UserTesting (www.usertesting.com) Loop11 (www.loop11.com) OpenHallway (www.openhallway.com)	\$39 for video of visitors speaking their thoughts as they use your Web site. Flat fee of \$350 for user testing project. Tiered pricing for usability studies of your Web site or application. Test can originate from social platforms like Facebook or Twitter.

INDUSTRY/TARGET MARKET FEASIBILITY ANALYSIS

- **Industry feasibility and target market feasibility are not the same**
 - Industry refers to all firms producing similar products or services, while the target market is a specific segment the firm chooses to serve.
- **Startups rarely serve the entire industry**
 - Entrepreneurial firms usually focus on a narrowly defined target market rather than attempting to capture the whole industry.
- **Clear target market definition is critical**
 - Success depends on identifying a specific group of customers whose needs are well understood and can be served better than competitors.
- **Industry and target market feasibility has two core components**
 - The analysis must separately evaluate industry attractiveness and target market attractiveness.



INDUSTRY/TARGET MARKET FEASIBILITY ANALYSIS

- **Industry attractiveness evaluates the overall health of the industry**
 - This includes factors such as growth rate, competitive intensity, profitability, and long term sustainability.
- **Target market attractiveness focuses on the chosen customer segment**
 - Key considerations include size, growth potential, willingness to pay, accessibility, and unmet needs.
- **A strong business idea aligns an attractive industry with an attractive target market**
 - High feasibility exists only when both the industry and the selected target market show favorable conditions.



FINANCIAL FEASIBILITY ANALYSIS

- **Financial feasibility is the final stage of feasibility analysis**
 - It provides an early financial check before committing to detailed business planning.
- **A preliminary financial assessment is sufficient at this stage**
 - Detailed financial forecasts are not required because the business concept is still evolving.
- **Three issues define financial feasibility**
 - Total start up cash needed, financial performance of similar businesses, and overall financial attractiveness of the venture.
- **Total start up cash needed must be clearly estimated**
 - All capital and operating expenses required to reach the first sale should be identified, preferably with a conservative overestimate.



FINANCIAL FEASIBILITY ANALYSIS

- **Source and repayment of start up funds must be explained**
 - Entrepreneurs must specify where funds will come from and how they will be repaid.
- **Comparison with similar businesses is essential**
 - Expected sales, costs, and profitability should be benchmarked against comparable firms using secondary data or field observation.
- **Financial attractiveness depends on return relative to risk**
 - Projected returns should justify the capital invested, risks taken, and opportunity cost of time and money.
- **Long term viability matters more than short term appeal**
 - Sustainable growth, recurring revenue, internal financing ability, and exit opportunities indicate strong financial feasibility.



ENVIRONMENTAL ANALYSIS

- Understanding the Entrepreneurship Ecosystem
- Entrepreneurship ecosystem includes
 - Government policies and regulations
 - Access to funding and investors
 - Incubators and accelerators
 - Universities and talent pool
 - Digital infrastructure
 - Culture toward risk and failure



UNDERSTANDING THE ENTREPRENEURSHIP ECOSYSTEM

- For a digital game startup like Morphology Games
- Strong dependence on internet penetration and digital adoption
- Need for creative and technical talent
- Exposure to global markets but also global competition



ENTREPRENEURSHIP SUPPORTS

Key support factors for Morphology Games

- Growing mobile and online gaming culture
- Increasing acceptance of gamified learning
- Availability of digital distribution platforms like app stores
- Social media for low cost marketing
- Indie game communities and developer forums



ENTREPRENEURSHIP BARRIERS

Major barriers faced

- High competition from global game studios
- User acquisition cost can rise quickly
- Monetization challenges in free to play markets
- Short user attention spans
- Rapid technology and trend changes



COMPETITOR ANALYSIS

- Think of the market as a crowded bazaar at Asan.
- Everyone is selling something, some shout louder, some sell cheaper, some have loyal customers who will walk past ten shops just to reach them.
- **Competitor analysis is about understanding** who is already in that bazaar and why customers stop at their stalls.
- Competitors are not just those selling the exact same product. They exist in layers.



COMPETITOR ANALYSIS

- **a. Direct competitors**

- These offer the same product or service to the same target customer.

- **Example**

- A food delivery app competing with other food delivery apps in the same city.

- **How to identify**

- Look for companies solving the same problem in the same way
 - Search app stores, Google, marketplaces, startup databases
 - Ask customers what alternatives they already use



COMPETITOR ANALYSIS

- **b. Indirect competitors**

- These solve the same problem but in a different way.

- **Example**

- A food delivery app competing with home cooking, restaurants with dine in, or local phone order delivery.

- **Why they matter**

- Customers do not think in categories. They think in problems. If your solution is not compelling, they switch to a different approach.



COMPETITOR ANALYSIS

- **c. Substitute competitors**

- These do not look like competitors at first glance but can replace your offering.

- **Example**

- A ride sharing app competing with public buses, motorcycles, or remote work that removes the need to travel.

- **Key question**

- What will the customer do if your startup does not exist?



COMPETITOR ANALYSIS

- **d. Potential and emerging competitors**

- These are startups or companies that could enter your market in the future.

- **Sources**

- Large tech companies expanding into your space
- Startups in adjacent markets
- Foreign companies entering Nepal or South Asia



MAPPING COMPETITORS

- Once identified, competitors are compared across key dimensions.
- Typical comparison factors
 - **Price**
 - **Product features**
 - **Quality and reliability**
 - **Customer experience**
 - **Geographic reach**
 - **Technology used**
 - **Brand reputation**

A simple competitor matrix can place competitors on two axes, such as price versus quality or innovation versus cost. This helps visually see gaps in the market.



SOURCES OF COMPETITIVE ADVANTAGE

- Competitive advantage is the reason customers choose you even when alternatives exist. It is your unfair edge.
- **a. Cost advantage**
 - You can deliver the same value at a lower cost.
 - Sources
 - Efficient operations
 - Local sourcing
 - Technology automation
 - Economies of scale
- **Risk**
 - Cost advantage is easy to copy unless it is deeply embedded.



SOURCES OF COMPETITIVE ADVANTAGE

- **b. Differentiation advantage**
- You offer something meaningfully different.
- Examples
 - **Better design or user experience**
 - **Unique features**
 - **Personalization**
 - **Cultural or local relevance**
- This works best when customers value the difference and are willing to pay or stay loyal.



SOURCES OF COMPETITIVE ADVANTAGE

- **c. Technology advantage**
- Your technology is hard to replicate.
- Examples
 - **Proprietary algorithms**
 - **Data advantage from early users**
 - **AI models trained on local or unique data**
- In Nepal context, access to localized data itself can be a powerful moat.



SOURCES OF COMPETITIVE ADVANTAGE

- **d. Network effects**
- The product becomes more valuable as more users join.
- Examples
 - **Marketplaces**
 - **Social platforms**
 - **Payment networks**
- Once strong, network effects act like gravity. New users are pulled in naturally.



SOURCES OF COMPETITIVE ADVANTAGE

- **e. Brand and trust advantage**
- Customers trust you more than others.
- Sources
 - **Consistent quality**
 - **Strong customer support**
 - **Social proof and word of mouth**
 - **Alignment with local values and culture**
- Trust is slow to build and fast to lose, but very hard to steal.



SOURCES OF COMPETITIVE ADVANTAGE

- f. Access and distribution advantage
- You reach customers more easily than competitors.
- Examples
 - **Partnerships with institutions or government**
 - **Exclusive distribution channels**
 - **Strong offline presence combined with digital reach**
- In developing markets, distribution often beats technology.



SOURCES OF COMPETITIVE ADVANTAGE

- **g. Regulatory or institutional advantage**
- You benefit from regulations or formal relationships.
- Examples
 - **Licenses**
 - **Government partnerships**
 - **First mover compliance in regulated sectors**
- This creates barriers that slow down new entrants.



EVALUATING SUSTAINABILITY OF ADVANTAGE

- Not all advantages last. A strong analysis asks three questions.
- Is it valuable, Does it clearly solve a customer problem?
 - Is it rare
- Do few competitors have it?
 - Is it hard to imitate
- Does it require time, data, trust, or capital to copy?
 - Is it well organized
- Can the startup actually execute and protect it?
 - If the answer is yes to all, the advantage is defensible.



OUTCOME OF COMPETITOR ANALYSIS

- A good competitor analysis helps the startup to
- Position itself clearly in the market
- Avoid competing only on price
- Identify unmet customer needs
- Design a strategy that plays to its strengths



COMPETING IN THE MARKET.

- **Market Research**

- Market research involves systematic collection and analysis of data about customers, competitors, and industry trends.
- It can be primary, such as surveys, interviews, and focus groups, or secondary, such as reports, journals, and market databases.
- Effective market research reduces uncertainty and supports evidence based decision making.



TARGET CUSTOMER PROFILE

- A target customer profile defines the specific group of customers a startup aims to serve.
- It includes demographic factors like age, gender, income, and location, as well as psychographic factors such as lifestyle, preferences, pain points, and buying behavior.
- A clear target customer profile allows startups to tailor products, pricing, and marketing efforts.



TAM, SAM, AND SOM

- Total Addressable Market **(TAM)**, Serviceable Available Market **(SAM)**, and Serviceable Obtainable Market **(SOM)**
- Understanding TAM, SAM, and SOM is essential for evaluating the market potential of a startup and for communicating scalability to investors.
- These three concepts help entrepreneurs move from a broad market vision to a realistic and achievable business opportunity.



TOTAL ADDRESSABLE MARKET (TAM)

- Total Addressable Market represents the total market demand for a product or service if a company were able to capture 100 percent of the market with no competition or constraints.
- TAM answers the question: How big is the overall opportunity?
- TAM is important because it shows the maximum growth potential of a business.
- Investors use TAM to assess whether a startup is targeting a large enough market to justify investment.



TOTAL ADDRESSABLE MARKET (TAM)

- Methods to Calculate TAM
- **Top Down Approach**
- This method starts with industry level market size data from reports or research studies and then narrows it to the relevant segment.
- Example:
 - If the global online education market is valued at 300 billion dollars and language learning represents 10 percent, then TAM is 30 billion dollars.
- **Bottom Up Approach**
- This method calculates TAM based on the startup's pricing and estimated number of potential customers.
- Example:
 - If a startup charges 100 dollars per year and there are 50 million potential users worldwide, TAM equals 5 billion dollars.
 - This approach is often considered more accurate and credible.



VALUE THEORY APPROACH

- This method estimates TAM based on the value the product creates for customers rather than existing market prices.
- It is useful for innovative products without clear market benchmarks.
- **How many people would get value out of your product?**
- **How much money people would like to pay for it?**



SERVICEABLE AVAILABLE MARKET (SAM)

- Serviceable Available Market is the portion of TAM that a startup can realistically serve with its product, business model, and geographic reach.
- SAM answers the question: Which part of the total market can we actually target?
- SAM is smaller than TAM because it considers practical constraints such as location, regulations, technology, and customer segments.
- Example
 - A food delivery startup may have a TAM covering the entire country, but if it operates only in major cities, its SAM includes only urban customers.



SERVICEABLE AVAILABLE MARKET (SAM)

- SAM Calculation Example
- If the TAM of an electric scooter market is 10 billion dollars globally, and the startup operates only in South Asia which accounts for 25 percent of demand, then SAM equals 2.5 billion dollars.



SERVICEABLE OBTAINABLE MARKET (SOM)

- Serviceable Obtainable Market represents the realistic share of the market that the startup can capture within a specific time frame, considering competition, resources, and market conditions.
- SOM answers the question: What portion of the market can we realistically win?
- SOM is the most practical and actionable metric for business planning and financial projections.



SERVICEABLE OBTAINABLE MARKET (SOM)

- **Factors Affecting SOM**
 - **Competitive intensity**
 - **Marketing and sales capability**
 - **Pricing strategy**
 - **Customer adoption rate**
 - **Brand recognition**
 - **Operational capacity**



RELATIONSHIP BETWEEN TAM, SAM, AND SOM

- TAM is always the largest market size and represents the total opportunity.
- SAM is a subset of TAM that reflects what the business can serve.
- SOM is a subset of SAM and reflects what the business can realistically achieve.
- **TAM > SAM > SOM**



HOW TO CALCULATE TAM (TOTAL ADDRESSABLE MARKET)

- Calculating the Total Addressable Market (TAM) helps you understand the broad revenue potential of your product or service within a target market. The formula for TAM is straightforward.
- TAM Formula
- The formula for TAM is:
 - $TAM = (\text{Total Number of Potential Customers}) \times (\text{Average Annual Revenue per Customer})$
- To find your TAM, you need two key pieces of information:
 - Total Number of Potential Customers: Estimate how many people or businesses could potentially use your product or service.
 - Average Annual Revenue per Customer: Estimate how much each customer would spend on your product or service annually.



TAM EXAMPLE

- Imagine launching an e-commerce platform for handmade goods. To calculate TAM:
 - Potential Customers: Estimated at 10 million who are interested in handmade goods online.
 - Average Revenue per Customer: \$500 annually.
 - The TAM calculation is:
 - **TAM = 10,000,000 × \$500**
 - **TAM = \$5,000,000,000**
- Your e-commerce platform's TAM for handmade goods is \$5 billion.***
- Remember, this figure is an estimate that can fluctuate based on competition, market trends and consumer behaviors.



SERVICEABLE ADDRESSABLE MARKET

- How to calculate SAM (Serviceable Addressable Market)
- Serviceable Addressable Market (SAM) reflects the revenue opportunity available from the portion of the TAM that your business can realistically serve.
- SAM Formula
- The formula for SAM is:
 - $SAM = (\text{Total Number of Potential Customers}) \times (\text{Percentage of Customers You Can Serve}) \times (\text{Average Annual Revenue per Customer})$



SAM EXAMPLE

- Consider launching software for small businesses. To calculate SAM:
- Potential Customers: 1 million small businesses.
- Percentage You Can Serve: 10%.
- Average Revenue per Customer: \$1,000 annually.
- The SAM calculation is:
 - **$SAM = 1,000,000 \times 0.1 \times \$1,000$**
 - **$SAM = \$100,000,000$**
- The SAM for your software aimed at small businesses is \$100 million. This figure helps prioritize market opportunities and guide resource allocation for growth and profitability.



SERVICEABLE OBTAINABLE MARKET

- How to calculate SOM (Serviceable Obtainable Market)
- SOM estimates the portion of SAM that your business can realistically capture in the short to medium term.
- SOM Formula
- The formula for SOM is:
- $$\text{SOM} = (\text{Total Number of Potential Customers}) \times (\text{Percentage of Customers You Can Serve}) \times (\text{Percentage of Market You Can Capture}) \times (\text{Average Annual Revenue per Customer})$$



EXAMPLE

- Imagine you're launching a new food delivery service in a city with 1 million potential customers:
- Customers You Can Serve: 20%.
- Market Share You Can Capture: 5%.
- Average Revenue per Customer: \$1,000 annually.
- The SOM calculation is:
 - **$SOM = 1,000,000 \times 0.2 \times 0.05 \times \$1,000$**
 - **$SOM = \$10,000,000$**
- The SOM for your food delivery service is \$10 million. This calculation assists in setting realistic sales and growth targets.



IMPORTANCE OF TAM, SAM, AND SOM FOR STARTUPS

- They help validate whether the market is large enough.
- They guide go to market and expansion strategies.
- They support realistic revenue and growth projections.
- They improve credibility in investor presentations.
- They help founders focus resources on achievable segments.



GO TO MARKET (GTM) STRATEGY

- A GTM strategy defines how a startup will deliver its product to customers.
- It includes pricing strategy, distribution channels, sales approach, customer acquisition methods, and partnerships.
- A strong GTM strategy ensures efficient market entry and faster adoption.
- **Branding and Promotional Strategies**
- Branding involves creating a unique identity through name, logo, values, and messaging.
- Promotional strategies include advertising, digital marketing, social media, content marketing, influencer partnerships, and public relations.
- Effective branding builds trust, recognition, and long term customer loyalty.



BUSINESS STRATEGY DEVELOPMENT

- Business strategy development provides long term direction and aligns organizational efforts toward common objectives.
- It describes what the organization aspires to become in the future. It is forward looking, inspirational, and defines long term impact.
- It explains the purpose of the organization, what it does, who it serves, and how it creates value. It guides daily operations and strategic decisions.
- SMART goals are objectives that are Specific, Measurable, Achievable, Relevant, and Time bound.
- Using SMART goals helps startups track progress, improve accountability, and ensure strategic focus.



BUILDING TEAM FOR STARTUP

- A strong founding team is critical to startup success, especially in early stages where resources are limited.

Recruiting Founders

- Founders should have complementary skills, such as technical expertise, business development, and leadership.
- Alignment in vision, values, and commitment level is essential to avoid conflicts.

Recruiting Early Employees

- Early employees should be adaptable, motivated, and capable of handling multiple roles.
- Startups often recruit through personal networks, referrals, startup communities, and online platforms.
- Offering equity, learning opportunities, and mission driven work helps attract talent despite limited salaries.



FINANCIAL ANALYSIS

- Financial analysis evaluates the economic feasibility and sustainability of a startup.

Revenue Streams and Cost Structure

- Revenue streams define how the startup earns money, such as product sales, subscriptions, licensing, or advertising.
- Cost structure includes fixed costs like rent and salaries, and variable costs like production and marketing. Understanding both helps ensure profitability.



FINANCIAL PROJECTIONS

- Financial projections estimate future revenue, expenses, cash flow, and profitability, typically for three to five years.
- They help founders plan growth, manage risks, and communicate business potential to investors.



RAISING CAPITAL

- Seed funding is early stage capital used to develop the idea or prototype.
- Angel investors are individuals who invest personal funds and provide mentorship.
- Venture capital involves institutional investors funding high growth startups in exchange for equity.
- Choosing the right funding source depends on startup stage, growth goals, and control considerations.



THANK YOU!

